

Achievements

Some of the achievements of the government include: Turnaround time at major ports in India has decreased at a rapid pace from 82.32 hours in FY17 to 59.51 hours in FY19. Five times more growth in major ports' traffic recorded during 2014-18, compared to 2010-14. Increased efficiency has led three times increase in net profits of major ports between FY14-18.

5.3.1.4 Aviation

As of 2019, India is the ninth largest aviation market with a passenger throughput of 344 million. As of 2021, the sector has 91 international carriers comprising of 5 Indian carriers and 86 foreign carriers connecting over 40 countries; and the sector is contributing US \$ 72 billion to GDP. The Ministry of Civil Aviation is the nodal authority responsible for the formulation of national policies and programmers for development and regulation of the civil aviation industry in the country. The growth of airlines traffic in the Indian aviation industry is almost 4 times above the international average. In the year 1991, a total of 10,717,400 passengers were carried in Indian airlines. This number grew multifold to 139,822,450 in 2017. In addition to a robust GDP growth driving increased spends on air travel, low fares have led to a rise in demand in smaller-towns of India. India Airlines market despite of being the fastest growing market, has been one of the toughest aviation markets in the world due to—

- High fuel prices (a sales tax of nearly 30 per cent is levied on jet fuel which jacks up flight operations for airlines; also, there is an excise duty of 11 per cent levied on jet fuel since October 2018);
- Poor and insufficient infrastructure (air traffic is increasing, consequently space is decreasing to accommodate them);
- Low cost carriers have made the market extremely price sensitive, rigid regulations, i.e., ample regulations and laws still hold back the industry and do not provide room for improvement and profits.

Post reforms of 1991, aviation sector saw a major reform in its structural and operational context. The major reforms that redesigned the aviation sector were:

- 1) Liberalisation: Repealing of the monopolistic Air Corporation Act in 1994 was followed by heavy disinvestment in the two public sector airlines— Indian Airlines Corporation and Air India International, leading to the opening up of the domestic sector to private players, bringing in more competition and the resulting benefit of reduced fares.

PPP model: Amidst the constrained fiscal position, the government has given way to new financing models for the development of airports. Public Private Partnership (PPP) model i.e. Build Operate and Transfer (BOT), Build Own Operate and Transfer (BOOT) have been tried for development of Airports in India. For instance, in November 2018, the Government of India approved a proposal to manage six AAI airports under public private partnership (PPP) situated in Ahmedabad, Jaipur, Lucknow, Guwahati, Thiruvananthapuram and Mangaluru.

- 2) Open Sky Policy: The Open Sky Policy which allows foreign airlines of any country or ownership to land at any port on any number of occasions

and with unlimited seat capacity brought in a massive change in the aviation sector. That is, the Government opened the skies to private players.

- 3) **FDI Policy:** Government has put in place an investor friendly policy on FDI in the aviation sector, under which 100 per cent FDI (Automatic up to 49 per cent and Government route beyond 49 per cent) is permitted in scheduled Air Transport Service/Domestic Scheduled Passenger Airline, while for NRIs 100 per cent FDI is permitted under the automatic route. Also, foreign investment in M/s Air India Ltd is brought on a level playing field with other scheduled airline operators with the amended FDI policy which enables foreign investment by NRIs into M/s Air India Ltd. up to 100 per cent under automatic route. According to data released by the Department of Industrial Policy and Promotion (DIPP), FDI inflows in India's air transport sector (including air freight) reached US\$ 1,904.37 million between April 2000 and June 2019.
- 4) **Low Cost Carriers (LCC):** In 2003 Low Cost Carrier (LCC) entered the domestic aviation industry which led to substantial fall in the market share of Legacy carriers such as Air India, Indian Airlines and Jet Airways giving rise to fierce price wars between various airlines. The period following the introduction of the LCCs has been one of rapid growth for the Indian airline industry as they enhanced the affordability of air travel and hence the demand for air travel in India.
- 5) **Greenfield Airports:** A greenfield airport denotes a project that lacks constraints, imposed upon it by prior work or existing infrastructure. In 2007, the Indian government finalised the policy on greenfield airports. According to the new policy, state governments wanting to set up a greenfield airport could either do so themselves or through any designated entity or a joint venture company. For instance, the Government of Andhra Pradesh is to develop Greenfield airports in six cities under the PPP model.

5.3.2 Telecommunications

India is currently the world's second largest telecommunications market with a subscriber base of 1.19 billion and has registered strong growth in the past decade and half. The telecommunication industry in India is rapidly growing and witnessing many developments. The sector is becoming more competitive day-by-day, with the introduction of new players (which in turn has led to sharp and steady decline of average revenue per user) and has truly revolutionised the way we communicate and share information. The exponential growth is primarily driven by affordable tariffs, wider availability, roll out of Mobile Number Portability, expanding 3G and 4G coverage and the onset of 5G technologies, evolving consumption patterns of subscribers and a conducive regulatory environment. The industry has undergone a major process of transformation through several policy reforms and regulations. These include:

- 1) **Liberalisation:** With the announcement of the New Economic Policy in July 1991, the telecom sector was declared open to the private sector. This initiated the transformation of the once government owned monopolistic telecom market to a multi-operator open competitive market.
- 2) **National Telecom Policy of 1994:** In 1994, the government announced the National Telecom Policy which further stimulated the growth of the

industry by provision of world class services at reasonable rates, promotion of exports, stimulation both domestic and foreign direct investments.

- 3) The Telecom Regulatory Authority of India Act, 1997: Established Telecom Regulatory Authority of India (TRAI) which was necessary to regulate the private players in the telecom sector.
- 4) New Telecom Policy of 1999: Laid down a clear road map for future reforms by opening by all the sectors in telecommunications to private players.
- 5) National Telecom Policy 2012: Launched to provide secure, reliable, affordable and high quality converged telecommunication services anytime, anywhere for an accelerated inclusive socio-economic development.
- 6) National Digital Communications Policy 2018: Launched to ensure digital sovereignty. For instance, under it the government aims to provide universal broadband connectivity at 50 Mbps to every citizen.
- 7) Technological Innovations: The growth of telecom industry has also been fuelled by the launch of newer telecom technologies like 3G, and Broadband Wireless Access (BWA), and emergence of cloud technologies. Efforts are continuously made to develop affordable technology for masses and reinvigorate the maturing urban markets and help in bringing balanced growth of economy.
- 8) FDI Policy: FDI cap in the telecom sector has been increased to 100 per cent from 74 per cent; out of 100 per cent, 49 per cent will be done through automatic route and the rest will be done through the approval route. FDI of up to 100 per cent is permitted for infrastructure providers offering dark fibre, electronic mail and voice mail. FDI inflows into the telecom sector during April 2000 – March 2019 totaled to US\$ 32.82 billion, according to Department for Promotion of Industry and Internal Trade (DPIIT).

5.3.3 Power

Power is one of the most critical components of infrastructure crucial for the economic growth and welfare of people. India's power sector is one of the most diversified in the world. Sources of power generation range from conventional sources such as coal, lignite, natural gas, oil, hydro and nuclear power to viable non-conventional sources such as wind, solar, small hydro and biomass. The country's achievements in the power sector in the recent years have been outstanding. Electricity generation (both from conventional and non-conventional sources) increased from 808.5 billion units (BU) (in 2009-10) to 1389.1 BU (in 2019-20), a growth of around 72 per cent. As of January 2021 the national electric grid in India has an installed capacity of 377.261 Giga Watts (GW).

The Government is implementing reforms towards a secure, affordable and sustainable energy system to power a robust economic growth. Some of the key policy reforms in the power sector include:

Liberalisation: India's generation capacity has increased considerably. This increase is attributed to the delicensing of power generation in 2003, which enabled unrestricted participation of private sector companies. India now has